

In the 1980s, during the summer after my sophomore year of college, I was offered a wonderful opportunity to learn more about markets and investing at O'Connor and Associates, an options trading firm in Chicago. An astute partner believed that mathematically inclined and curious students would make good colleagues and good market makers. The firm emphasized avoiding what Graham and Dodd would call *market analysis* and had a strong focus on a bottom-up effort to use mathematical techniques to price derivatives on single stocks, indices, bonds, and foreign exchange. O'Connor principals readily acknowledged that they did not know "where the market was going." Rather, they felt that O'Connor could earn an attractive return on capital by making prices on the options of many stocks and indexes, while laying off risk by trading options against each other, "locking in" pricing disparities. The market makers were encouraged to avoid any directional bets on individual stocks. The group responsible for assessing individual stock risk was a cerebral bunch who believed in reading as much as in mathematical modeling. At the top of their list, next to *Security Analysis*, was a biography of Jesse Livermore, a cautionary tale about speculation and leverage.

When I was introduced to options markets at O'Connor that summer, a nascent though increasingly complex world of indexes, index options, currency options, and U.S. Treasury bond options was beginning to take off. I developed an abiding conviction that there was no way to generate excess returns simply by doing market analysis, that is, placing trades based on particular market patterns. It was at that time I read what Graham and Dodd had written so many years earlier about technical analysis; rereading these words again recently reinforced the folly of using historical prices to predict future prices. Nevertheless, these backward-looking approaches continue to generate substantial interest in the financial media as well as on Wall Street as each new crop of market participants arrives eager to beat the market.